

Sotheby's

INTERNATIONAL REALTY

SUBSEQUENT DISCLOSURES AND THE RIGHT TO RESCIND

If the Transfer Disclosure Statement is delivered after the purchase agreement has been signed, the Buyer has three days after delivery (five days in the case of mailing) to terminate the agreement. This right of rescission must be in writing and delivered to the Seller or the Seller's agent. On occasion the Seller must add to the initial TDS because an item was inadvertently omitted. Similarly, if the agents discover facts that were not initially noted in the agent's disclosure section, the agent has an obligation to make an amendment in writing and transmit it to the Buyer.

If the amendment is "material" that is, affects the value or desirability of the property, a new three-day right to rescind arises in favor of the Buyer. While the statute contemplates that any additional disclosures will be in writing, it seems clear that even if the disclosure is orally made, the three-day right of rescission is reactivated in favor of the Buyer.

It is incumbent upon agents to reduce any subsequent disclosures to writing and to advise the Buyer that the right of rescission is available because of the additional or corrected disclosure. Sellers should also be cautioned that answering "unknown", "not sure", or like responses to questions is not always acceptable. The statute provides that the Seller and his or her agent must make "a reasonable effect to ascertain" the required information. And cannot circumvent the purpose of the disclosure statement by an "I don't know" response.

Transfer Disclosure Statements are also required in leases with an option to purchase and real property sales contracts where title is not to be transferred until after one year from the date of the agreement (sometimes referred to as "contract for deed" or "installment land contract"). In both cases, the statement must be delivered before the contract is finalized. If the disclosure is amended because of a material change after the contract is signed, the lessee or vendee has the same right to rescind as a Buyer in an ordinary purchase agreement. The notice of rescission must be in writing and delivered to the lessor, vendor, or their agent within the three-day period.

DATE: _____ SELLER: _____

DATE: _____ SELLER: _____

RE: